

ordnance activities made no significant contribution to total earning power. Yet an important new earning peak was attained.

How is the market responding to all this? At the end of September 1957, when writing of the first edition was concluded, these shares were selling at 25¼. Today they are at 51, a gain of 102 per cent. It is beginning to look as though the financial sentiment I mentioned in the original edition is beginning “to recognize the basic improvement in fundamentals that started some years before.”

Other events are confirming this trend and may give further impetus to it. In 1959 the McGraw-Hill Publications inaugurated a new custom. They decided each year to give an award for outstanding management achievement in the chemical industries. To determine the first winner of this honor they selected an unusually distinguished and informed panel of ten members. Four represented leading university graduate schools of business administration, three came from major investment institutions with heavy holdings in the chemical industry, and three were leading members of prominent chemical consulting firms. Twentytwo companies were nominated and fourteen submitted presentations. This award for management accomplishment did not go to one or another of the giants of the industry, the managements of several of which, with very good reason, are highly respected in Wall Street. Instead it went to the Chemical Divisions of the Food Machinery Corporation which, two years before, had been regarded by most and is still regarded by many institutional stock buyers as a rather undesirable investment!

Why is a matter of this sort of major importance to long-range investors? First, it gives strong assurance that, plus or minus the trend of general business activity, the earnings of such a company will grow for years to come. Informed chemical businessmen would not give this kind of award in the industry to a company that did not have the research departments to keep developing worthwhile new products and the chemical engineers to produce them profitably. Secondly, this type of award will leave its impression on the investment community. Nothing is more desirable for stockholders than the influence on share prices of an upward trend of earnings multiplied by a comparable upward trend in the way each dollar of such earnings is valued in the market place, as I mentioned in my concluding remarks about this company in the original edition.